The Troubled State of Airlines in India

"Airlines in Turmoil: Financial instability and operational constraints impacting Indian carriers."

Introduction

According to government statistics, at least 27 scheduled airlines have shut down, merged with another airline, or been bought since the country's skies were opened to private Indian carriers in 1994. More than 145 aircraft, or about 22% of the total fleet available in India, are currently grounded due to engine problems and a lack of spare parts from engine manufacturers. This has further slowed the expansion of the Indian aviation industry. According to statistics, 20 IndiGo, 54 Go First, 27 SpiceJet, and 26 Air India group planes are grounded and parked in various airports around the nation. Domestic aviation had 40,000 flights in April 2023, a post-pandemic high. There were up to 450,000 passengers each day, and according to certain projections, there will be 500,000 passengers by the end of 2023. India will surpass Japan to become the world's third-largest domestic aviation market by 2023.

In addition, Vistara and Air India merged, and most recently, Go First was grounded. These events were all part of Akasa Air's strategy to capitalize on the growing low-cost business. India is one of the world's aviation markets with the quickest growth, with a compound annual growth rate (CAGR) of 5.8% now. But how much farther can it advance? IATA had forecasted that India will surpass the UK to take over third place in the aviation sector by 2026 in a 20-year market prediction. It still lags behind the US and China in this regard.

Troubles

High operating costs: One of the main issues is how expensive it is to operate an airline in India. Airlines struggle to remain profitable because of rising costs for things like fuel, airport fees, and taxes. Constraints on the infrastructure: India's aviation infrastructure has had a difficult time keeping up with the explosive rise in air travel. Many airports are operating at or beyond capacity, which causes traffic jams, holdups, and inadequate amenities. The industry's potential for expansion is hampered by the absence of current infrastructure. Multiple airlines are striving for market share in the fiercely competitive Indian aviation sector. The strain from this fierce competition on ticket pricing has an impact on how profitable airlines are. Some airlines have resorted to providing cheap tickets, which may prove to be unsustainable over time. Regulatory obstacles: The Indian aviation industry must navigate a maze of laws and red tape. The time and effort required to get licenses, permits, and approvals might impede the industry's development and effectiveness.

Aviation professionals with the necessary skills are in low supply in India, including pilots, engineers, and technicians. Due to the growth of airlines, there is an increasing need for competent workers, but the supply cannot keep up. Airlines may have operational difficulties and higher expenses as a result of this scarcity. Airlines' financial instability: Several Indian airlines have had financial issues that have resulted in bankruptcy and service interruptions. The general health of the sector has been impacted by the financial instability of some carriers due to high debt loads, fierce rivalry, and market changes. Despite recent major improvements in safety regulations, there have been sporadic safety problems in India's aviation sector. Questions have been made regarding the industry's general safety culture in the wake of incidents including runway excursions, technical difficulties, and poor maintenance procedures. the COVID-19 effect The COVID-19 epidemic has had a significant negative influence on India's aviation business, just like it has on the worldwide aviation industry. Air traffic has significantly decreased as a result of travel restrictions, decreased demand, and lockdown measures, which have cost airlines money and cost jobs to those working in the business.

The Indian government and aviation authorities have started several initiatives to solve these issues, including infrastructure development plans, legislative reforms, and financial support to enhance the prospects for the sector and encourage sustainable expansion.

Improvement

Approximately 700 aircraft are now registered with commercial airlines in India. But in the upcoming years, the nation's entire fleet strength will experience significant growth. More than 1,000 aircraft have been ordered by IndiGo and Air India alone, and further aircraft are planned for Akasa Air and other smaller companies. Then there is the increasing number of travelers using airplanes. India's passenger traffic may surpass 410 million by 2024–2025, according to the Airports Authority of India. It appears that there will be enough demand for all the new aircraft that are now on order in the upcoming decades. Top executives and industry professionals are optimistic about the present progress. Additionally, the new aircraft won't be delivered in batches. In reality, deliveries of IndiGo's most recent purchase won't begin until 2030, by which time the nation is projected to have opened hundreds of additional airports. In addition, several of the new aircraft will replace the ships' retiring older aircraft. Earlier this year, the Indian government announced plans to spend more than $11 billion on airport infrastructure. The regional UDAN program is creating two new airports close to Delhi and Mumbai in addition to numerous more in smaller towns. More than 2,700 passenger touchpoints will improve as a

result of the agreement, and the technology can be expanded over the course of the next seven years to 40 other airports. It's anticipated that more than 500 million passengers would be handled throughout this time. With the introduction of new cloud technology, Indian airports will be able to transition to shared passenger experiences where several airlines may utilize the same infrastructure, including check-in counters, self-service kiosks, and boarding gates.

Why did Go First File for Voluntary Insolvency?

COVID Pandemic Effects: The Covid problem has significantly affected India's aviation sector and air travel. The extreme interruption brought on by the pandemic cost Indian airports and airlines, respectively, Rs 5,116 crore and Rs 19,564 crore in 2020–21. India is one of the biggest crude oil importers and relies on foreign fuels to cover 85% of its needs. One of the main petroleum products created by the processing of crude oil is aviation turbine fuel (ATF). 40% of the total expense for Indian airline firms is made up of ATF. High ticket costs will result from an increase in the price of crude oil on the global market, which will immediately increase the ATF rates.

Depreciation of the Indian Rupee: In 2022, the Indian Rupee had the poorest performance in Asia, falling by over 11.5% versus the US Dollar. In light of the Russia-Ukraine war, global economic concerns, inflation, and high crude oil prices, the rupee has been falling, especially following supply chain interruptions. A significant amount of pressure is put on the already high

import prices of oil and raw materials as a result of this devaluation, which also increases the cost of manufacturing and import inflation in addition to retail inflation. As a result, there are significant increases in ATF pricing. The cost of operations for the aviation sector is unsustainable due to high fuel prices and a depreciating rupee. To offset this, airlines hike their prices.

Lack of Funds Through IPO: In an initial public offering (IPO), securities are sold to the general public on the main market. It is the company's main source of funding with a lengthy or indefinite maturity. Since 2015, Go First has sought to raise $3,600 crore through an IPO to fund its operating capital and debt repayment needs.

However, the gloomy market outlook and the owners' icy attitude towards injecting capital hurt the company's chances. The epidemic afterward had a toll on the business. The airline has thus been unable to raise money from the primary market. Aircraft are unavailable: The Go First is experiencing financial difficulties as a result of the US-based Pratt and Whitney (P&W) jet engine manufacturer's failure to provide engines, which has caused the grounding of more than 50 aircraft.

Problems with GO FIRST

half of its fleet was grounded as a result of the engines." Pratt & Whitney, however, claimed that Go First had a lengthy history of failing to pay dues. According to an ET story citing industry sources, Go First's financial difficulties are partly to blame for delaying maintenance work during COVID, which contributed to the company's engine problems. In India, Go First is not the first privately owned airline to run into trouble. The Indian aviation industry, sometimes referred to as the "graveyard of airlines," has seen a staggering number of airlines go out of business or be acquired after suffering significant losses. The list of unsuccessful Indian airlines is extensive and includes EastWest and Damania in the 1990s as well as MDLR, Paramount, Kingfisher, Air Costa, and Jet in the prior ten years.

“Unpaid dues piled up and the airline didn’t pay it. Now demand has picked up leading to a shortage in maintenance capability and of course the engine makers are giving first preference to the airlines which paid on time,” an executive with an engine manufacturer told ET.

Conclusion

In recent years, the Indian aviation sector has faced several obstacles and turmoil. Numerous airlines have merged or closed their doors, which is indicative of the industry's intense competition and financial instability. The industry's expansion has also been hampered by the grounding of a sizable number of aircraft because of engine problems and a lack of replacement components. Despite these issues, the Indian aviation industry has shown resilience and has room to grow. Domestic aviation has seen a boom, with passenger counts breaking previous highs before the COVID-19 epidemic. The advent of new airlines, such as Akasa Air, and the continuous expansion ambitions of well-established carriers like IndiGo and Air India both help the sector's growth. However, problems including high operating costs, inadequate infrastructure, fierce rivalry, regulatory difficulties, a lack of experienced workers, and sporadic safety concerns continue. In addition to considerably disrupting air travel, the COVID-19 epidemic has cost airlines money. The Indian government and aviation regulators have put in place several initiatives to address these problems and encourage sustainable expansion. To improve the industry's prospects, efforts are being made for infrastructure expansion, legislation changes, and financial assistance programs. Investments in airport infrastructure and the deployment of cutting-edge technology are intended to enhance the traveling experience and boost operational

effectiveness. Although IndiGo has taken the lead in the industry, there is still competition from other airlines. To combine robust competition with the general stability of the sector, efforts are being undertaken.